ABC News; AAP; The Conversation · 28 October 2026

Markets all but certain of a Melbourne Cup Day rate rise

After the hot inflation result, financial markets put the chance of a 25 basis point rise on 3 November at up to 90%. All four major banks now expect the cash rate to go from 4.60% to 4.85%.

WHAT HAPPENED

- Market pricing for a hike rose from about **60%** before the CPI release to about 79% straight after, and was later reported **near 90%**. Isaac Gross's own model puts it at 80%, up from 56% earlier in the week.
- **NAB and CBA switched** from expecting a hold to expecting a hike, joining Westpac and ANZ. UBS also expects 4.85%. Westpac's base case is no further rises after November.
- A rise would be the **fifth of 2026** (the first four totalled 100 basis points, the latest in September) and would take the cash rate to its **highest level in 18 years**.
- The board meets on Monday 2 November and announces its decision at **2:30pm AEDT on Tuesday 3 November**, along with new forecasts.
- The case for waiting: Gross notes that higher rates take time to restrain spending, and consumption is weakening while unemployment rises. A hold would let earlier rises work without necessarily ending the cycle.

Key terms: cash rate · contractionary monetary policy · transmission mechanism · time lags

BY THE NUMBERS

4.60%
Current cash rate

4.85%
Expected after 3 November

~90%
Market odds of a hike (late on 28 Oct)

5th
Rise of 2026, if it goes ahead

FLOW CHART — The transmission mechanism: from the cash rate to inflation

RBA raises the cash rate to 4.85% → Mortgage, business and deposit rates rise → Less disposable income, more saving, stronger AUD → Consumption and investment slow (AD falls) → **Inflation eases towards 2–3%**

Exam angle: monetary policy works with **time lags** of up to 18 months, so part of September's rise has not yet fed through. That is the main argument for a hold, while persistent underlying inflation is the main argument for a hike.

SYLLABUS LINK

Topic 4 – Monetary policy: implementation through the cash rate, the transmission mechanism, and its effectiveness and limitations (time lags, uneven impacts on borrowers).

TRY THIS

Explain how an increase in the cash rate is transmitted through the economy to reduce inflation. **(5 marks)**

ABC News, 'ASX surrenders big gains as market puts chance of November hike near 90pc — as it happened', 28 Oct 2026 – https://www.abc.net.au/news/2026-10-28/asx-markets-business-live-news/107316614
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Isaac Gross, 'Inflation jumps to 4.3%, adding to pressure for RBA rate rise next week', The Conversation, 28 Oct 2026 – https://theconversation.com/inflation-jumps-to-4-3-adding-to-pressure-for-rba-rate-rise-next-week-295162
Allora! News, 'RBA sees no near-term recession as Michele Bullock warns inflation is "far too high"', 28 Oct 2026 – https://alloranews.com/economia/rba-sees-no-near-term-recession-as-michele-bullock-warns-inflation-is-far-too-high/

Summary prepared 29 October 2026 · paraphrased from the sources listed